

vital than ever. Let's bring them back and discuss them in light of today's events.

Theory Versus Practice

Graham begins his original (1949) discussion of "The Investor as Business Owner" by pointing out that, *in theory*, "the stockholders as a class are king. Acting as a majority they can hire and fire managements and bend them completely to their will." But, *in practice*, says Graham,

the shareholders are a complete washout. As a class they show neither intelligence nor alertness. They vote in sheeplike fashion for whatever the management recommends and no matter how poor the management's record of accomplishment may be.... The only way to inspire the average American shareholder to take any *independently* intelligent action would be by exploding a firecracker under him.... We cannot resist pointing out the paradoxical fact that Jesus seems to have been a more practical businessman than are American shareholders.^{[1](#)}

Graham wants you to realize something basic but incredibly profound: When you buy a stock, you become an owner of the company. Its managers, all the way up to the CEO, work for you. Its board of directors must answer to you. Its cash belongs to you. Its businesses are your property. If you don't like how your company is being managed, you have the right to demand that the managers be fired, the directors be changed, or the property be sold. "Stockholders," declares Graham, "should wake up."^{[2](#)}

The Intelligent Owner

Today's investors have forgotten Graham's message. They put most of their effort into buying a stock, a little into selling it—but none into owning it.